Virginia Natural Gas Peninsula Headquarters: the short list

Six non-residential sites of 8 acres or more, ranked on one added rule: how close they sit to City Center at Oyster Point, Port Warwick and VNG's current Newport News office at 746 Diligence Dr. VNG wants restaurants, shopping and a City Center address, so proximity is now scored and double-weighted. Twenty-one sites from the first screen are cut, including everything residential and everything north of the airport or beyond Hampton Roads Center.

Cut from the first screen: 3, 5, 6, 7, 8, 10, 11, 12, 13, 14, 16, 17, 18, 19, 20, 21, 23, 24, 25, 26, 27

Numbers in this edition are new ranks; the old number is shown for cross-reference

6
Sites on the short list

2
Tier 1, both at City Center

14.93 ac
CHKD tract, 591 City Center Blvd, about 1 mile from 746 Diligence Dr

$10.03M
CHKD's 2016 basis, held vacant since

What VNG told us and what it means for the list

VNG wants to stay as close as possible to the City Center area of Newport News, near restaurants and shopping like City Center and Port Warwick, and near its existing office at 746 Diligence Dr in the Oyster Point submarket. That rules out industrial parks, waterfront brownfields and anything north of the airport. It leaves two sites that actually meet the brief, both at City Center, and four others kept for leverage or as fallbacks. If City Center is non-negotiable, the Hampton and north Newport News entries below are bargaining chips, not destinations.

Program sizing: 10 acres carries roughly 120,000 to 160,000 SF of two- or three-story office with surface parking at 4 per 1,000 SF, or 80,000 to 100,000 SF plus a secured fleet and materials yard. VNG's corporate HQ stays in Virginia Beach and its $50M Operations HQ in Chesapeake opens late 2026 or early 2027, so the Peninsula program is a consolidated regional headquarters, not the whole company.

Ranking

Proximity scores 0 to 3 on driving distance to City Center and 746 Diligence Dr and counts double. The five original factors (acreage fit, by-right zoning, control, image and access, readiness) score 0 to 3 each. Maximum 21.

#	SITE	CITY	MILES TO CITY CENTER	ACRES	OWNER	ZONING	PROX ×2	ACREAGE	ZONING	CONTROL	IMAGE	READY	TOTAL	TIER	WAS
1	591 City Center Blvd, vacant CHKD land (parcel 183-00-01-29), bought 11/2016 for $10.03M, held vacant since	Newport News	~1	14.93	Childrens Real Estate LLC (CHKD)	C-2; office by right	6	3	3	2	3	3	**20**	Tier 1	22
2	City Center Expansion Area, east of City Center between Canon Blvd and Rock Landing Dr	Newport News	0	38	City of Newport News / EDA	C-4 Oyster Point Business District	6	3	3	2	3	2	**19**	Tier 1	2

#	SITE	CITY	MILES TO CITY CENTER	ACRES	OWNER	ZONING	PROX ×2	ACREAGE	ZONING	CONTROL	IMAGE	READY	TOTAL	TIER	WAS
3	Hampton Roads Center North Campus, EDA tracts plus the 8.2 ac listed at Floyd Thompson Blvd & Exploration Way	Hampton	~7	8.2 listed; 470-ac park	Hampton EDA / private	HRC-2 office & R&D	2	3	3	3	3	3	**17**	Tier 2	1
4	Former Ferguson campus remainder, 12500 Jefferson Ave at Bland Blvd (Costco bought 32 ac, needs ~20)	Newport News	~3	~12 of 32	Costco Wholesale	Commercial (verify)	4	3	2	1	3	2	**15**	Tier 2	9
5	400 Butler Farm Rd, existing 100,632 SF office on acreage, Hampton Roads Center	Hampton	~7	14.3	Private (Rockford Capital Partners, 2018; verify)	HRC office park	2	3	3	2	3	2	**15**	Tier 2	4
6	Langley Research & Development Park, outside NASA's south gate	Hampton	~8	150-ac park; lots unknown	Private association	R&D office	2	1	3	1	2	2	**11**	Tier 3	15

Where they sit relative to VNG's office



Tier 1: the two sites that meet the brief

1 · 591 City Center Blvd, vacant CHKD land

Newport News

PARCEL 183-00-01-29 · OYSTER POINT SUBMARKET · RECORDED OWNER CHILDRENS REAL ESTATE LLC, A CHKD ENTITY

PROXIMITY

About 1 mile to VNG's current Newport News office at 746 Diligence Dr, under a mile to City Center at Oyster Point, about 1.5 miles to Port Warwick. Walk-to-lunch distance from the Marriott, Town Center and the City Center restaurants.

ACRES

14.93 acres, vacant. Clears the 10-acre target with room for a fleet yard, or for a phase-two pad CHKD could keep.

OWNER

Childrens Real Estate LLC, the title-holding entity for Children's Hospital of The King's Daughters. Purchased 11 Nov 2016 for $10,030,141 (about $672,000 per acre, $15.42 per SF). Held vacant for nearly ten years. The purchase predates the current CEO, who took over in December 2022.

ZONING

C-2 General Commercial. Office is a by-right use. The city's own stated proposed use is commercial, medical or office.

WHY IT FITS

Same submarket as VNG's existing Newport News service center at 746 Diligence Dr, so a consolidation story writes itself. City Center address, I-64 at J. Clyde Morris, Jefferson Lab and Tech Center as neighbors, utilities in the street, no demolition, no remediation.

Ten million dollars of idle land is either a strategic hold under leadership review or dead capital. Either way the conversation is the same: CHKD's capital is going to Norfolk (new cardiovascular ICU, Olney Road construction through mid-2026), its Peninsula outpatient footprint is already served by the Rock Landing surgery center and the Tech Center urgent care, and a credit-tenant utility is the kind of buyer or ground tenant a nonprofit board can approve without a fight.

Related CHKD holding. The 7.95-acre Health & Surgery Center parcel at 11783 Rock Landing Dr (APN 196.00-01-60) is a separate CHKD property and stays in use. **Site 23** (895 City Center Blvd) is a third party's medical campus, not part of this tract.

CALL FIRST	**Kathy Abshire**, Senior Vice President of Finance and Chief Financial Officer. Children's Real Estate, LLC sits in her reporting line, she carries the $10M basis on her balance sheet, and a monetization or ground lease is a finance decision before it is a facilities decision.
SECOND DOOR	**Kimberly Day**, Senior Vice President and Chief Legal Officer, registered agent for Children's Real Estate, LLC at 601 Children's Lane. Any purchase agreement or ground lease is papered through her office. A one-page letter naming the parcel, the 2016 purchase and VNG as a credit tenant is appropriate here.
REACH	No published direct dials for either. Switchboard 757-668-7000, ask for the Office of the CFO or the Office of General Counsel by name. CHKD staff email follows First.Last@chkd.org (confirmed by a published supply chain address), so Kathy.Abshire@chkd.org and Kimberly.Day@chkd.org are the probable addresses, unverified. Administrative side line: 757-668-7084, listed as CHKD's authorized-official number in federal NPI records, purpose unverified. Mailing address: 601 Children's Lane, Norfolk, VA 23507.
PRINCIPAL	**Amy Sampson**, President and CEO since December 2022, for a principal-to-principal approach once finance has engaged.
FACILITIES SEAT	The VP of Facilities and Support Services role, which carries Real Estate, is in transition. Jason Mueller held it from April 2025 and has left (one directory shows him as CEO of Sentinel Healthcare Solutions in 2026). No successor was posted as of this report. The seat reported to **Dr. Christopher Foley**, Senior Vice President and Chief Clinical Operations Officer, per the hiring

announcement, so Foley owns Facilities and Real Estate until it is refilled and is a legitimate third name for the letter. Older directories still list Tamika Harris; she is also gone.

BASIS	$10.03M paid in 2016. Add roughly ten years of carry (real estate tax on C-2 land at City Center plus opportunity cost) and CHKD's make-whole number is in the $11M to $13M range.
SALE	Comparable C-2 and C-4 land at Oyster Point and City Center trades roughly $500K to $800K per acre, so $7.5M to $12M on 14.93 acres. The deal clears near basis, not below it. Expect an ask at $12M or more.
GROUND LEASE	At a 6 to 7 percent land yield on an $11M value, $660K to $770K per year, with CPI bumps. Keeps the asset on CHKD's balance sheet and avoids a nonprofit asset-disposition process.
CARVE	VNG needs 10 to 12 acres. Offering to leave CHKD a 3 to 5 acre pad on the Jefferson Ave side gives them a future medical office site and lowers your price.

Opening line that works: you know the parcel, the date and the price. A regulated utility HQ is a credit tenant and a quiet neighbor. Lead with the ground lease, then let them ask about a sale.

Confirm current assessed value and any site plan or rezoning filings on parcel 183-00-01-29 before the call Open in Maps

2 · City Center Expansion Area

Newport News

EAST OF CITY CENTER AT OYSTER POINT, BETWEEN CANON BLVD AND ROCK LANDING DR · WAS #2

PROXIMITY

Adjacent to City Center. About 1 mile to 746 Diligence Dr, about 1.5 miles to Port Warwick.

ACRES

38, from which a 10 to 15 acre employment anchor would be carved.

OWNER

City of Newport News / EDA.

ZONING

C-4 Oyster Point Business District; mixed-use, commercial and employment uses by right.

STATUS

One of 12 sites marketed at the city's EDGE Summit (Oct 2025); the city says it is seeking proposals.

The public alternative to the CHKD tract, with the same address quality. The difference is process: a city disposition runs through an RFP, master-plan conformance and council approval, so expect 9 to 18 months to a signed agreement against 60 to 120 days with a private owner. Use it as the credible second option that keeps CHKD's price honest, and as the fallback if CHKD will not deal.

Newport News Dept. of Development (Derek Perry, Asst. Director)

Open in Maps

Tier 2: leverage and fallbacks

3 · Hampton Roads Center North Campus

Hampton

MAGRUDER BLVD AT COMMANDER SHEPARD BLVD · I-64 EXIT 262 · WAS #1

PROXIMITY

About 7 driving miles to City Center. Wrong city for the brief, but the strongest office-park product on the Peninsula.

ACRES

8.2 ac listed at Floyd Thompson Blvd & Exploration Way (Divaris, $1.3M, HRC-2). Larger EDA tracts remain in the 470-acre park; city flyer prices EDA land at $95K to $105K per acre (undated).

OWNER

Hampton EDA administers park land sales; the 8.2 ac listing is privately brokered.

Keep it on the list for one reason: Hampton's EDA will put real incentives on the table, and that number is useful in the room with CHKD and with Newport News. It scores high on everything except the thing VNG said matters most.

Hampton Economic Development, 757-727-6237

Open in Maps

4 · Former Ferguson campus remainder

Newport News

12500 JEFFERSON AVE AT BLAND BLVD · I-64 EXIT 255 · WAS #9

PROXIMITY

About 3 miles up Jefferson Ave from City Center; Patrick Henry Mall and Jefferson Commons retail next door.

ACRES

Costco closed on 32 ac for $28M (31 Jul 2025) and plans about 20 ac for a 163,000 SF warehouse and fuel station, leaving roughly 12 ac.

OWNER

Costco Wholesale.

The only other Newport News site with interstate access and retail amenity within walking distance. Speculative: Costco has not said it will sell the remainder. One call to Costco's real estate group answers it.

Costco Real Estate

Open in Maps

5 · 400 Butler Farm Rd

Hampton

HAMPTON ROADS CENTER · EXISTING BUILDING ON 14.3 AC · WAS #4

PROXIMITY

About 7 driving miles to City Center.

IMPROVEMENTS

100,632 SF single-story office (former Sprint call center), about 51,000 SF marketed for lease via JLL.

OWNER

Rockford Capital Partners acquired in 2018; current owner to confirm.

The fastest-to-occupy option on the Peninsula if speed ever outranks address: buy, gut and move in. Kept as the reposition fallback.

JLL listing team

Open in Maps

Tier 3: kept at your request

6 · Langley Research & Development Park

Hampton

OUTSIDE NASA'S SOUTH GATE · WAS #15

150-acre private R&D park, lot availability unpublished, about 8 miles from City Center. Office zoning and NASA adjacency, no retail amenity.

Langley R&D Park Association — Open in Maps

Monday morning

1. **CHKD: Kathy Abshire, SVP Finance and CFO, via 757-668-7000 (ask for the Office of the CFO), with Kimberly Day, Chief Legal Officer, and Dr. Christopher Foley, Chief Clinical Operations Officer, in copy.** Name the parcel: 591 City Center Blvd, 14.93 acres, bought November 2016 for $10.03M. Ask whether CHKD would ground-lease or sell it for a corporate headquarters, and whether a 3 to 5 acre medical pad carve-out helps them say yes. The facilities VP seat is vacant, so finance and legal are the right doors.

2. **Newport News Department of Development, Derek Perry.** Open the City Center Expansion Area conversation the same week. Two live options at City Center is the only way to hold CHKD's price near basis.

3. **Pull the file on parcel 183-00-01-29.** Current assessment, site plan or rezoning history since 2016, wetlands and RPA buffers, utility stubs, access points on City Center Blvd. Timmons can do this in a day.

4. **Costco Real Estate on the Ferguson remainder.** One call. If the roughly 12 acres is available, it becomes the third live option in Newport News.

5. **Hampton Economic Development, 757-727-6237.** Ask for the EDA incentive package on Hampton Roads Center North. You will not use it, but VNG's board will ask what Hampton offered.

Method and limits

Distances are approximate driving miles from City Center at Oyster Point and from 746 Diligence Dr. The 591 City Center Blvd parcel data (acreage, owner, 2016 price, zoning) is from the Newport News assessor record supplied by the client; all other acreage, ownership and zoning comes from city fact sheets, council and EDA actions, news coverage and brokerage listing records. Both city GIS portals were unreachable from this session, so parcel boundaries and current owner of record should be confirmed before any letter of intent. Map positions are schematic. Removed from the first screen at the client's direction: the Carleton site, Fort Monroe, the Red Roof Inn and Coliseum Central sites, Tech Center pads, Oriana Rd, Harbor Square, the Chase Site, Oakland Industrial Park, Dozier Rd, Air Commerce Park, NASA Langley, Copeland Industrial Park, 1033 Big Bethel Rd, 2700 Parish Ave, Coliseum Central Site 2, 51 Deer Run Trl, 895 City Center Blvd, 4030 W. Mercury Blvd, the Canon campus, Mariners' Museum Park and the Hampton University Real Estate Foundation holdings.

Sources

- Virginia Business: VNG breaks ground on $50M Chesapeake operations HQ (https://virginiabusiness.com/virginia-natural-gas-50m-chesapeake-headquarters/)
- VNG at a glance fact sheet (regional offices, employee count) (https://www.virginianaturalgas.com/content/dam/southern-co-gas/virginianaturalgas/docs/vng-at-a-glance-factsheet.pdf)
- Virginia 811 (2020): VNG Newport News, 746 Diligence Dr (https://dev.va811.com/events/2020-02-20)
- Newport News assessor record, parcel 183-00-01-29, 591 City Center Blvd: 14.93 ac vacant, Childrens Real Estate LLC, purchased 11/11/2016 for $10,030,141, zoned C-2 (supplied by the client)

- Virginia entity record: Children's Real Estate, LLC, 601 Children's Lane, registered agent Kimberly Day (https://opencorpdata.com/us-va/02542066)
- CHKD: Leadership and Key Staff (https://www.chkd.org/about-us/who-we-are/leadership-and-key-staff/)
- CHKD: Kathy Abshire, SVP Finance and CFO (https://www.chkd.org/about-us/who-we-are/leadership-and-key-staff/kathy-abshire/)
- Hunt Scanlon: CHKD hires Jason Mueller (reporting to Dr. Christopher Foley) (https://huntscanlon.com/childrens-hospital-of-the-kings-daughters-hires-jason-mueller-as-vice-president-of-facilities-support-services/)
- CHKD Vendor Management (published First.Last@chkd.org address format) (https://www.chkd.org/about-us/chkd-health-system/vendor-management/)
- WAVY: City Center Expansion site, 38 ac, C-4 (https://www.wavy.com/news/local-news/newport-news/city-council-approves-funding-for-key-development-sites-in-newport-news/)
- Virginia Business: Newport News targets 12 sites for development (https://virginiabusiness.com/newport-news-target-12-sites-for-redevelopment/)
- WAVY: Costco buys former Ferguson HQ, 32 acres, $28M (https://www.wavy.com/news/local-news/newport-news/costco-expands-in-newport-news-moving-to-former-ferguson-hq/)
- City of Hampton: Hampton Roads Center North flyer (https://hampton.gov/DocumentCenter/View/1412/hrcn_flyer?bidId=)
- Crexi: Hampton Roads Center commercial land (8.2 ac) (https://www.crexi.com/properties/VA/Hampton_Roads_Center/Commercial-Land)
- LoopNet: 400 Butler Farm Rd, 100,632 SF on 14.3 ac (https://www.loopnet.com/Listing/400-Butler-Farm-Rd-Hampton-VA/23885631/)
- City of Hampton: Business and Office Parks (Langley R&D Park) (https://www.hampton.gov/516/Business-Parks)